

Insurance for NRIs: Complete Guide

Managing Indian Insurance From Abroad

Living abroad? Your Indian insurance still protects you. Here's how to manage it.

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Can NRIs Hold Indian Insurance Policies?

Yes, NRIs (Non-Resident Indians) and PIOs (Persons of Indian Origin) can hold Indian insurance policies. You can continue existing policies purchased while you were a resident, and you can also buy new policies while abroad. However, there are specific rules and considerations you need to know.

KEY FACT

NRIs can hold life insurance, health insurance, and general insurance policies in India. Claims can be paid in Indian Rupees (repatriable in some cases) or in foreign currency depending on the policy terms and RBI regulations.

Life Insurance for NRIs

Buying New Policies

- NRIs can buy life insurance policies from Indian insurers
- Premium can be paid from NRE, NRO, or FCNR accounts
- Some insurers allow online purchase from abroad
- Medical examination may be required (can be done in your country of residence)
- Premium rates may be higher for NRIs (depending on country of residence)

Continuing Existing Policies

- If you bought a policy while resident in India, you can continue it as an NRI
- Inform the insurer about your change in residency status
- Update your address and contact details
- Continue paying premiums from NRE/NRO account
- Policy benefits remain the same

Nomination for NRIs

- You can nominate a resident Indian or another NRI
- Nominee can receive claim amount in India or abroad
- For repatriation, nominee may need to provide additional documents
- Consider having a Power of Attorney (POA) in India for claim processing

Health Insurance for NRIs

Health insurance for NRIs is more complex. Most Indian health insurance policies provide coverage only within India. If you need coverage while abroad, you may need an international health insurance policy.

Coverage in India

- Indian health insurance covers treatment in India only
- Useful if you frequently visit India for medical treatment
- Premium can be paid from NRE/NRO account
- Cashless facility available at network hospitals in India

Coverage Abroad

- Most Indian health insurance policies do NOT cover treatment abroad
- Some premium policies may have global coverage (check with insurer)

- Consider international health insurance for coverage abroad
- Travel insurance can cover emergency medical treatment during India visits

Motor Insurance for NRIs

If you own a vehicle in India, you must have motor insurance. Even if you're abroad, your vehicle needs valid insurance if it's registered in India.

- Motor insurance is mandatory for all vehicles in India
- You can renew motor insurance from abroad (online)
- If the vehicle is not being used, you can opt for a laid-up policy (reduced coverage)
- No Claim Bonus (NCB) is retained even if you don't renew on time (up to 3 years)
- Consider giving POA to someone in India for vehicle management

Filing Claims from Abroad

Life Insurance Claims

- Death claims: Nominee in India can file the claim
- Required documents: Death certificate (apostilled if abroad), policy bond, nominee ID proof
- Claim amount can be repatriated (subject to RBI guidelines)
- Maturity claims: Can be paid to NRE account or repatriated

Health Insurance Claims

- For treatment in India: File as usual (cashless or reimbursement)
- Keep all original bills and discharge summaries
- If you paid from abroad, keep foreign currency payment records
- Reimbursement can be credited to NRE/NRO account

Repatriation of Insurance Proceeds

Insurance claim amounts can be repatriated (sent abroad) subject to RBI guidelines. The process depends on the type of policy and the amount.

- Life insurance death claims: Fully repatriable
- Life insurance maturity claims: Repatriable if premium was paid from NRE/FCNR
- Health insurance claims: Repatriable if treatment was abroad (and policy covers it)
- General insurance claims: Case-by-case basis
- Amounts up to USD 1 million per financial year can be repatriated under LRS

Tax Implications for NRIs

Life Insurance

- Premium paid for life insurance is deductible under Section 80C (up to Rs 1.5 lakh)
- Maturity proceeds are tax-exempt under Section 10(10D) if premium < 10% of sum assured
- Death claim amount is fully tax-exempt

Health Insurance

- Premium deductible under Section 80D (up to Rs 25,000 for self, Rs 50,000 for senior citizens)
- Reimbursement received is tax-free

Power of Attorney (POA) for Insurance

If you're unable to manage your insurance policies from abroad, you can give a Power of Attorney to a trusted person in India. The POA can:

- Pay premiums on your behalf
- File claims and follow up with insurers
- Receive claim amounts on your behalf
- Update policy details (address, nomination, etc.)

The POA must be notarized and apostilled. Some insurers may require the POA to be registered in India. Check with your insurer for specific requirements.

Useful Contacts for NRIs

- IRDAI Grievance Call Centre: 155255 / 18004254732
- Insurance Ombudsman: www.cioins.co.in
- RBI Helpline for Repatriation Queries: Contact your bank
- Insurance Support: +91-9986634506 (WhatsApp available)

Need Help Managing Your Indian Insurance?

Our experts specialize in helping NRIs manage their Indian insurance policies. We can help with policy review, claim filing, repatriation, and more.

Contact Insurance Support

Call/WhatsApp: +91-9986634506

Email: support@insurancesupport.online

Website: insurancesupport.online

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